Le Pen victory would risk EU support for Ukraine

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【メール原文】

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summary

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A Marine Le Pen victory could prompt a broader unraveling of EU support for Ukraine, which would be much more consequential for Ukraine than the loss of US support.
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A limited US-Iran deal remains unlikely, paving the way for likely US escalation after the midterms, as Washington still wants nuclear concessions up front and Iran refuses to make them until its own demands are met.
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India will likely sign trade deals with Canada, the EU, and the US before the year ends.
*
Washington will limit its use of tech controls to targeted sanctions, because legal constraints, industry pushback, and market reaction rule out a generalized "kill switch" against allied countries.
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Countries and sectors in this edition of the Daily Brief include the US, China, the EU, France, India, Iran, Mexico, Ukraine, geoeconomics, and geo-technology.

the top line

EU, Ukraine—EU support for Ukraine at risk from 2028

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Marine Le Pen's likely victory in France’s presidential election and her pledge to end all financial aid to Kyiv within six months could prompt a broader unraveling of EU support, which would be much more consequential for Ukraine than the loss of US support.
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Once financial support becomes a national rather than EU commitment, fiscally stretched and skeptical governments would likely follow France’s lead, blowing a hole in Ukraine’s finances beyond 2028.
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Le Pen and like-minded leaders would also use their vetoes to block further sanctions on Russia and Ukraine’s EU accession, weakening Kyiv's position just as incentives to negotiate an end to the conflict with Russia are increasing.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

US, Iran—US retreat on nuclear demands necessary for limited deal

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Vice President JD Vance has written to Mohsen Rezaee, secretary of Iran’s Supreme National Security Council, proposing a return to direct talks, signalling Washington appears to see Rezaee as a credible interlocutor.

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The letter is nominally meant to set a framework for nuclear talks. But it comes alongside a credible threat of escalation after the midterms, with more US military assets heading to the region, and it looks designed to push Tehran into further concessions.

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A limited deal remains unlikely, at 20% odds against 65% for escalation (see note , 27 October). Washington still wants nuclear concessions up front, and Iran refuses to make them until its own demands are met.

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The diplomatic role carries more risk than reward for Vance, because voters will judge him on whether the talks succeed, not on how sincerely he tried.

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Read more here . Reach out to discuss: mena@eurasiagroup.net .

Geo-technology—Civilian tech "kill switch" scenario remains implausible despite Starlink throttling

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Starshield's recent slowdown in Ukraine will reinforce European and Global South fears that Washington can order US tech companies to cut civilian services in entire countries for geopolitical leverage.

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Washington will limit its use of tech controls to targeted sanctions, because legal constraints, industry pushback, and market reaction rule out a generalized "kill switch" against allied countries.

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European and Global South governments and companies will continue to seek out sovereign tech services and alternatives to US-owned systems such as Starlink, though the market is moving more slowly than the rhetoric.

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Read more here . Reach out to discuss: geo-technology@eurasiagroup.net .

India—Trade deals with Canada, EU likely by year-end

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Indian Prime Minister Narendra Modi’s December travel schedule will cap a series of free trade agreements, beginning with the Canada-India trade agreement.

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Modi will then attend the G20 summit in Miami on 14-15 December, where India and the US will probably announce a revised framework agreement that will largely mirror the agreement announced in February 2025, but with added detail.

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The final tariff rate will be set once the US completes its Section 301 investigations. Secretary of State Marco Rubio visited India on 20-21 October in part to conduct back-end negotiations.

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Modi will travel to Europe on 16-17 December, where he is expected to sign the EU-India FTA. The European Parliament will then ratify the agreement, which should take effect in the first half of 2027.

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All three FTAs will give India preferential market access for low-skilled, labor-intensive goods such as apparel, footwear, and jewelry. The government hopes expanded access for Indian exports will create jobs and revive private investment.

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Read more here . Reach out to discuss: southasia@eurasiagroup.net .

Geoeconomics—Governments lean on price suppression to fight cost-of-living crises, adding to fiscal strain

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Inflation spikes have emerged as a defining macroeconomic and political risk, eroding real wages and pressuring incumbent governments to adopt costly interventions.

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Most policy responses have relied on price-suppressing measures rather than targeted income-supporting transfers, which are more effective and cost-efficient. That choice has added to fiscal strain.

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With El Niño, high fertilizer prices, and ongoing conflicts posing renewed food price risks, the risk of further distortionary interventions remains elevated.

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Reach out to discuss: geoeconomics@eurasiagroup.net .

Friday Insights—Wealth taxes: the revenue math, the credibility math, and the voter math

Alongside next week's US mid-term elections, California votes on Proposition 40, a one-time 5% tax on the state’s billionaires. EG sees the referendum as unlikely to pass. If it fails, more 2028 Progressive contenders are likely to take the approach favored by California Governor Gavin Newsom, who has opposed wealth-tax proposals but has instead called for a “true minimum tax on billionaires,” along with reforms to inheritance rules and other “loopholes” (read more here). This week, we look at some insights on the topic:

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The revenue may never show up (The Net Present Value of the California Billionaire Tax Act): A disputed paper claims that the seven confirmed billionaire departures have already removed an estimated nearly 30% of the tax base in California, and that collections of about $30bn are more likely than the $100bn claimed.

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“One-time” is not a credible promise (Non-linear Capital Taxation Without Commitment): The authors argue that governments that can’t commit to future policy will always be tempted to tax capital again.

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If revenue is the goal, tax consumption instead (Some simple principles for taxation and spending): In a polemical piece, Cochrane argues that the US does the opposite of good tax design, with high marginal rates on a narrow tax base and lots of exemptions. His blue-sky answer is to replace income, corporate, estate, and wealth taxes with a single-rate consumption tax.

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The political appetite for wealth taxes may come from cost-of-living pressures. This EG analysis argues that the US faces similar affordability pressures to those that have motivated protests in Europe. Economic anxiety runs highest among the young, with the generational divide most pronounced in wealthy nations (Gallup: The World’s Most Important Problem).

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Reach out to discuss: geoeconomics@eurasiagroup.net .

upcoming conference calls

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6 November 9:00 PM ET—Implications of the US midterms. Register here .

eg in brief

Mexico—Sheinbaum targets reform-scale tax revenue without a reform: President Claudia Sheinbaum will continue to avoid a politically costly fiscal overhaul that would raise taxes and cut spending, but she will seek to mobilize revenue via stronger tax administration and the elimination of tax expenditures, targeting a cumulative effect equal to that of a broad overhaul. This approach is the basis for a 2027 budget targeting a tax revenue increase of 5.9% in real terms to reach a record 15.9% of GDP, allowing Sheinbaum to avoid a conventional fiscal reform, at least until after the 2027 midterms. As Sheinbaum prioritizes maintaining an investment-grade credit rating, persistent spending pressures from Pemex support, pensions, flagship social programs, and an ambitious infrastructure agenda will increase pressure for broader fiscal measures later in her term. Read more here . Reach out to discuss: mexico@eurasiagroup.net .

China—Plenum appointments provide bridge to a rebuilt military: The CCP Central Committee's 5th plenum elevated current Central Military Commission (CMC) Vice Chairman Zhang Shengmin to the Politburo. Promoting Zhang a year before the 2027 Party Congress suggests that Xi intends him to anchor a hollowed-out command structure today and laying the groundwork for the rebuilt one tomorrow. Low attendance at the 5th Plenum shows Xi’s disciplinary campaign is still reshaping the Central Committee. The scale of the absence—a sixfold jump among full members—points to continued turmoil at senior levels. Xi continues to distrust his military leadership, as he left five CMC seats empty

and passed over military alternates for promotion. The plenum does not change our view that the odds for a near-term Taiwan conflict remains very low at 5%. Read more here . Reach out to discuss: china@eurasiagroup.net .

Upcoming events:

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30 October: Events: G20 Foreign Ministers' meeting begins, through 31 October; Central bank decision: Colombia.
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31 October: Data: China manufacturing and non-manufacturing PMIs.
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1 November: Events: US Daylight Savings time ends; Data: Saudi Arabia GDP.
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2 November: Events: Apple and Palantir earnings; Data: Eurozone, Taiwan, UK, and US S&P manufacturing PMI, India HSBC manufacturing PMI, and US construction spending and ISM manufacturing.
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3 November: Events: US Treasury refunding plans; Data: Hong Kong GDP, Turkey CPI, and US JOLTS job openings; Central bank decision: Australia.
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4 November: Data: US trade and S&P services PMI; Central bank decisions: Brazil, Poland, and Sweden.
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5 November: Data: Brazil industrial production, and Eurozone PPI; Central bank decisions: Czechia, Malaysia, Mexico, Norway, and UK.
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6 November: Data: Germany industrial production, US unemployment, nonfarm payrolls, and UMich consumer sentiment.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, with the help of Blaise Hanson, Luisa Moreira, and Marianne Moreira.

We love feedback! Send us a note at DailyBrief@eurasiagroup.net .

closing quip

"If Mr Zelenskyy would like us to talk, I will gladly come to Ukraine. But what I want to tell him is that we no longer have the financial means to provide assistance."—Le Pen told CNews on 15 October regarding Ukraine.

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